



Deciding your route

Once you understand your customers, the market, and the costs involved in growing your business, use this information to decide the best of four strategies (see below). Essentially, you can sell more of your offering to your existing market, sell the same offering to a new market, sell a new offering to your existing market, or sell a new offering to a new market.

Each option involves risk, which increases as your plan diverges from your existing business model. However, your research will help you choose the strategy most likely to lead to successful growth.

DECIDING NOT TO GROW

Although growth can potentially bring great rewards, it always entails some risk—many companies fail because they try to grow too soon, too quickly, or by too much. Ask yourself, do you even need to grow the business? For some businesses, staying the same size but improving how they operate can be more rewarding. Much will depend on why you started the business and what you want out of it. If your business is already successful, and allows you to maintain a healthy work-life balance, there may be little to gain by growing it further.

Market development

A few new restaurants open up nearby, prompting you to offer daily deliveries to them. This represents a new market, helping balance out monthly revenues, since your stall trade slows down in cooler weather.



Diversification

Your local supermarket does not stock organic pasta sauce. You invest in more bottling equipment, buy up tomatoes from other local organic farms, and begin selling your sauce to the supermarket chain, which has 20 stores.



Market penetration

To meet excess customer demand, you will have to build a new greenhouse in order to grow more tomatoes. However, the increased revenue you gain from selling more tomatoes will justify the expense you incur.



Product development

You are selling as many market-quality tomatoes as you can produce, but you have to discard any that are misshapen. You decide to use these to produce organic pasta sauce, which you sell from your existing market stall.



Existing

New

Products